LOCAL DRIVERS NETWORK

The ride home small-town America lost — sold to towns as DUI prevention.

Investor Summary | Prepared October 20, 2026 | Investor: Marry O. | Development: LUSTRA LABS (Version 1.0, under contract) | Research engine: Rene Turcios (Version 2.0) | Full diligence detail: Consolidated Project Brief (23 pp.)

THE PROBLEM

- **Small towns lost their rides.** Their taxi companies closed and their Uber drivers left for the nearest metro. In South Carolina, **38% of incorporated towns recorded zero Uber/Lyft trips in 2.5 years** (state TNC fee data).
- **So people drive drunk. 43–52% of US alcohol-impaired driving deaths happen in rural areas**, home to only ~19% of the population (NHTSA). 12,429 people died in alcohol-impaired crashes in 2023; the annual economic cost is **$44–$59 billion**.
- **Towns pay for it either way.** The FBI logged 1,031,812 DUI arrests in 2021 (~3.1 per 1,000 residents). A 12,000-person town processes ~37 DUIs a year at **~$2,700–$6,470 in public cost each** (CA courts study; WA 2023 cost model) — **$100K–$240K a year**, before any crash.

THE PRODUCT

- Driver + passenger apps (App Store / Google Play). **Free to the town; $1,000/month maintenance.**
- The town's own committee recruits local drivers — independent operators, not employees. **Drivers bill passengers directly and keep 100% of the fare.**
- Insurance + licensing through **HUM at $0.60/passenger-mile today (~$0.30 target)**, pay-per-mile instead of ~$1,200/month commercial cover — the piece that makes part-time driving viable. (Independent check: insurance runs ~21% of an average Uber fare, ≈ $0.63/passenger-mile.)

WHY TOWNS SAY YES

- **Proven model.** Wisconsin's Road Crew: 19,757 rides in 3 rural communities, **alcohol crashes down 17%**, $15,300 spent per crash avoided vs. ~$56,000 average cost per alcohol crash. Tavern League SafeRide: **1M+ rides since 2004**; WI OWI convictions down 44% since 2007. Proven ride-home programs deliver at $11–$22/ride — a town breaks even at a few rides a night.
- **Priced to skip procurement.** $12,000/year sits below most municipal RFP thresholds and below mainstream small-city SaaS (Tyler starts ~$15K/year), so a council can approve it directly.
- **Fundable without general funds.** $800M+ in FY2026 NHTSA highway-safety grants flow through state safety offices, with impaired-driving countermeasures a funded category. Offender cost-recovery also works: Grass Valley, CA already charges DUI offenders $2.00/minute — at its DUI volume that is **~$13,300/year, covering the entire fee**.

THE EDGE: VERSION 2.0

An AI research app screens every US town on public data (taxi lost? rideshare gone? alcohol crashes rising?), then files public records requests to pull each qualifying town's actual DUI time and taxpayer cost. **Every pitch arrives with the town's own numbers** — a sales asset no competitor can copy without rebuilding the engine. Cost to qualify a town: **~$25–$100**, vs. weeks of manual research.

THE MARKET — VERIFIED FUNNEL (US CENSUS)

19,500 incorporated places in the US	~3,700 in the target band (pop. 5,000–40,000)	~900–1,400 also 1+ hour from a major city	~550–850 also pass the need screen

Serviceable market ≈ 700 towns × $12,000/yr = $8.4M ARR. Ceiling if every in-band town converts: **$44.4M ARR**. Not counted: county contracts for unincorporated areas, size-based price tiers, insurance-administration revenue.

UNIT ECONOMICS (MODELED)

Revenue per town	**$12,000 / yr**
Direct cost per town (onboarding, driver checks ~$45–$110/driver, monitoring, hosting, support)	~$3,000–$4,500 / yr
Gross margin	**~62–75%** ($625–$750 / town / month)
Cost to acquire a town	~$1,600–$2,950
Payback	**~2–5 months**

MILESTONES & REVENUE PATH

5 pilot towns	$60,000 ARR
25 towns	$300,000 ARR
100 towns	$1,200,000 ARR
250 towns	$3,000,000 ARR
700 towns (serviceable market)	$8,400,000 ARR

CAPITAL REQUIRED TO FIRST RECURRING REVENUE

$35,000 — Version 1.0 build to market (quoted, under contract with LUSTRA LABS; Marry O. holds a 2-year noncompete and terms-of-responsibility agreement). **Modeled total path: ~$180K–$230K**, adding the national research rollout (~$50K), five pilot-town launches (~$20K), multi-state legal/insurance setup (~$15K–$30K), and 12 months of lean operations (~$60K). Version 2.0 build pricing is the one open line and is being finalized. First test market: Grass Valley (pop. ~12,000) and Nevada City (pop. ~6,000), CA — records research to date has cost $0.

Sources: Consolidated Project Brief (Oct 20, 2026), Part II — US Census Bureau, FBI UCR, NHTSA, US Office of Justice Programs, Washington State Criminal Justice Cost Model (2023), University of Wisconsin / WisDOT program evaluations, published vendor pricing. "Modeled" items are planning estimates with stated assumptions, not guarantees. For discussion purposes only; not an offer to sell securities.